

High-Rise Commercial Tower (G+22)

Tender Reference: TND-2026-00002 | Issued by: Skyline Developments Pvt. Ltd.

07 — Commercial Terms & Conditions

1. Contract Duration

Total contract duration: 36 calendar months from date of commencement. Mobilization period: 4 weeks (included within contract duration).

2. Payment Terms

Payment Milestone	%	Condition
Mobilization Advance	10%	Upon submission of advance payment guarantee (APG) equal to advance
Monthly Progress Payments	Up to 85%	Monthly valuations certified by Project Manager, paid within 28 days o
Practical Completion	5%	Upon issuance of Practical Completion Certificate (PCC)
Final Account Settlement	Remaining	After defects liability period & final account agreement

3. Retention

Retention: 5% of each monthly certificate, capped at 5% of contract value. Released in two equal tranches: 50% upon Practical Completion, 50% after Defects Liability Period (12 months).

4. Performance Bond

Unconditional bank guarantee equal to 10% of contract sum, valid until Practical Completion Certificate issuance plus 30 days.

5. Liquidated Damages (LDs)

LDs for delay in Practical Completion: PKR 500,000 per calendar day of delay, up to a maximum of 10% of the contract sum. LDs are a genuine pre-estimate of loss and not a penalty.

6. Price Adjustment

Contract price is fixed and firm for the first 18 months. Thereafter, price adjustment will be applied based on the Pakistan Bureau of Statistics Construction Cost Index, limited to $\pm 3\%$ per annum.

7. Dispute Resolution

Disputes shall first be referred to the Engineer for determination. If unresolved within 28 days, disputes shall be settled by arbitration in accordance with the Arbitration Act 1940, with venue in Karachi.